CASE STUDY · PART 2 · COMPANY AB

Supplier invoices: fix the data, release the cash

Data quality, business value and answers to six questions

3,349 invoices · January–August 2024 · amounts in local currency

SUMMARY

Clean data and a better payment routine can release about 12.7 m of cash

12.7 m

one-off, about 8.5 % of the period’s spend

invoices are paid 5 days earlier than contracts require

Data quality: usable after cleaning, but not reliable as delivered

Q1 · INCONSISTENCIES IN THE FILE

File errors hide 12.3 m and make duplicates impossible to prove

Issue	Rows
Amounts stored as text, ignored by SUM	216
Rows shifted one column to the right	58
Invoice number empty in every row	3,349
Identical rows, both paid: likely double payment	2

Part 2 · 3 · Also: 5 rows with #N/A instead of supplier ID; “Extra Days” always 0

Q1 · INCONSISTENCIES IN THE BUSINESS LOGIC

Business rules are broken too, and the due-date error costs cash

Issue	Rows
Due date earlier than issue date + terms	**1,586**
Order terms differ from supplier master data	135
“Matched” flag without an order number	352
Non-standard VAT rates, e.g. 10 % or 15 %	22
Credit-note loop: supplier 235 owes about 3.3 m	8

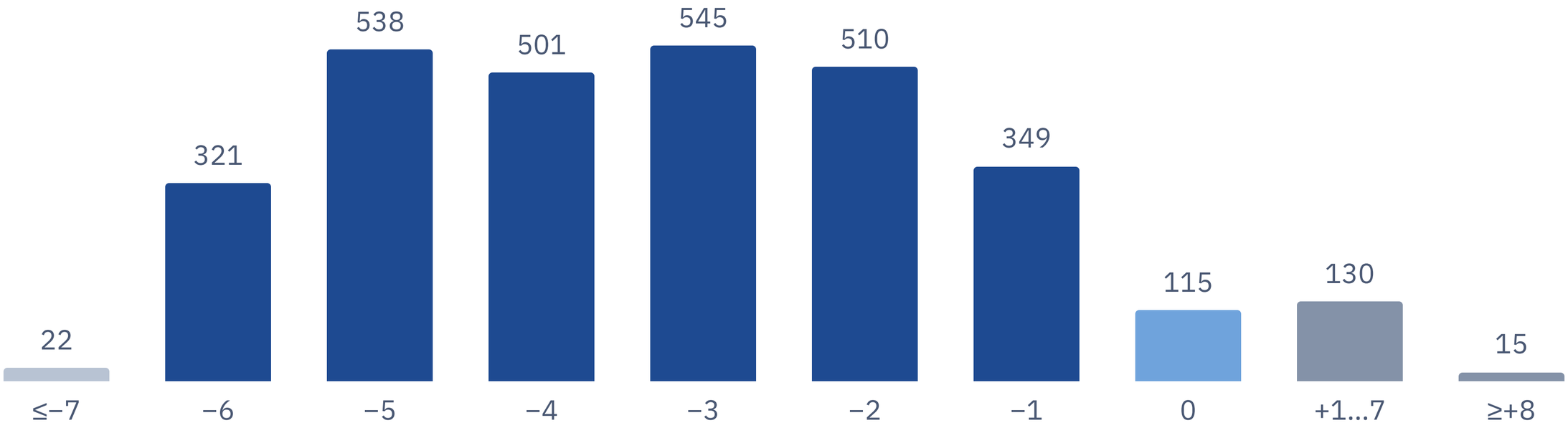
Q2 · KEY METRICS

We pay after 25 days although contracts give us 30

Metric	Value
Spend, 8 months, gross	148.7 m
Share of the top 10 suppliers	59 %
Contractual payment terms	30.0 days
Actual days to pay	**24.9 days**
Invoices paid before the due date	91 %
Spend without a purchase order	56–70 %

WHY WE PAY EARLY

One weekly Tuesday payment run pays most invoices 1–6 days early



Number of paid invoices by days before (–) or after (+) the due date. Highlighted: paid 1–6 days early.

Q3 · ALTERNATIVE APPROACHES

The definition changes the answer, so it must be agreed first

24.9

days, weighted by invoice value

26.3

days, simple average

Other choices: balance-sheet DPO · receipt date instead of issue date · net instead of gross

Q4 · WHO USES IT & Q5 · WHAT IS MISSING

Five teams can act on this data once key fields are added

Team	Uses it for	Missing field
Accounts payable	Duplicate check	Invoice number
Treasury	Cash forecast	Currency, company code
Procurement	Terms, spend without orders	Supplier category, order value
Controlling	Cost analysis	Cost centre, project
Tax	VAT check	VAT code per line

Q6 · WORKING CAPITAL

Four levers release about 12.7 m of cash

Lever	Cash, one-off
Pay on the due date, not before	1.6 m
Calculate due dates from contract terms	2.3 m
Agree 45-day terms with the top 10 suppliers	5.5 m
Recover the credit from supplier 235	3.3 m
Total	**12.7 m**

NEXT STEPS

Automate the checks so the cash stays visible every week

Verify

Double payments and supplier 235 with accounts payable

Fix

Invoice number, terms and data types in SAP

Automate

Quality rules in Fabric, payables report in Power BI